4(a)	**AO2 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 202 600 million / 92.7 million **(1)** = $2 185.54 **(1)** Award 2 marks if the GDP per capita is accurately calculated with no workings shown Do not award marks for formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fall in unemployment may result in workers gaining an income from their employment. This may increase consumer spending within the Vietnamese economy • An increase in total demand may therefore result in more demand than the economy can supply • This might result in demand pull inflation as costs and prices rise • A fall in unemployment may also result in there being fewer workers available in the Vietnamese economy • This could result in higher costs of production for firms as they must increase wages to attract workers • Higher costs of production may cause cost push inflation for the Vietnamese economy	**(6)**

Type MS · Macroeconomic objectives and trade-offs

Answer 1 of 14 · Question 4 part b · 6 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 1 of 14 · Question 4 part b · 6 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • There can be a reduction in inequality by taking lower average levels of tax from low wage earners and taking more from higher earners • Increasing progressive taxes will take more income from those on high-income levels • If the Vietnamese government taxed the 210 super-rich at a higher rate of taxation, the government would have more revenue • This could be spent on public services such as education which could help to reduce inequality and poverty • If low income work has a lower rate of tax, it encourages people to enter the labour force thereby reducing poverty **AO4** • Increasing the levels of progressive taxation can be difficult and unpopular • Higher rates of progressive taxation may create a disincentive effect on higher earners • Similarly, higher corporation tax may discourage investment in Vietnam which may have a negative impact on the economy • However, it also depends at what level income tax is set as to its effectiveness • There are alternatives to increasing progressive taxation which may be more effective such as redistribution through benefits payments or investment in education and healthcare • A combination of measures may be best in reducing levels of poverty and inequality in Vietnam	**(12)**

Type MS · Macroeconomic objectives and trade-offs

Answer 1 of 14 · Question 4 part b · 6 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 1 of 14 · Question 4 part b · 6 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

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2(a)	**AO2 1 mark** **C**	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **B** Increased choice for consumers	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct objective. • Economic growth • Low and stable inflation • Low unemployment • Surpluses or equilibrium on current account • Redistribution of income • Protection of the environment Accept any other appropriate responses.	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)** **Or** When a government fixes **(1)** new higher exchange rate **(1)** Accept any other appropriate response	**(2)**

Type MS · Macroeconomic objectives and trade-offs

Answer 2 of 14 · Question 2 part c · 1 mark

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).** Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a pattern of trade Award 1 mark for developing the pattern of trade Award 1 mark for the response being in context • Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).** • Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).** Accept any other appropriate response.	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 2 of 14 · Question 2 part c · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei • Nippon Koei have recruited 2,500 employees to work in its steel factories • Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing • Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh • Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers **AO4** • However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees • There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level • MNCs may drive out local businesses as they take over businesses and gain market share • Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government.

Type MS · Macroeconomic objectives and trade-offs

Answer 2 of 14 · Question 2 part c · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 2 of 14 · Question 2 part c · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

3(a)	**AO1 1 mark** **D** Higher taxation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **C** depreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is a fall in demand for Egyptian exports **(1).** Inflation of 17.7% makes domestic goods more expensive **(1)** so other countries may not buy Egyptian goods resulting in a deficit on the current account **(1)**. • One impact is an increase in imported goods **(1).** Inflation of 17.7% makes imports appear cheaper than Egyptian goods and services **(1)** so consumers prefer to purchase imports therefore having a negative impact on the current account **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 3 of 14 · Question 3 part c · 3 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Currency speculators have an impact on the exchange rate of a country due to supply and demand factors • Speculators will buy more currency if they believe that the exchange rate of the US$ will rise in the future. • The increase in demand for the currency causes the value of the exchange rate to rise compared to other currencies. • Conversely, the value of the exchange rate may fall if speculators sell a currency if they believe that the exchange rate will fall. • This causes a fall in the value of the currency due to an increase in the supply available. • The impact of speculators is often that their actions bring about what they predict will happen.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 3 of 14 · Question 3 part c · 3 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The use of regulation could be an effective way to reduce usage especially as the fine of AUS$5 000 is very high • This could stop retailers issuing plastic bags to customers thereby reducing the chance of plastic bags ending up in litter • Most consumers and retailers will want to follow the regulations and will therefore not use plastic bags • This is supported by the Environment Minister who states that this is a popular policy with many people **AO4** • However, banning plastic bags by regulation and issuing fines does not mean its consumption will completely reduce demand • The plastic bags have been banned since 2018 but no fines have been given out for using the plastic bags • The effectiveness will also depend upon shoppers reporting retailers for giving out plastic bags • There needs to effective policing of the ban for it to work properly

Type MS · Macroeconomic objectives and trade-offs

Answer 3 of 14 · Question 3 part c · 3 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 3 of 14 · Question 3 part c · 3 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Number		
1(a)	**AO1 1 marks** **C** free trade	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **B** Invisible trade	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to being willing and able and 1 mark for reference to unable to find employment People are willing and able to work/actively seeking work **(1)** but cannot find employment **(1)**. Accept any other appropriate responses.	**(2)**

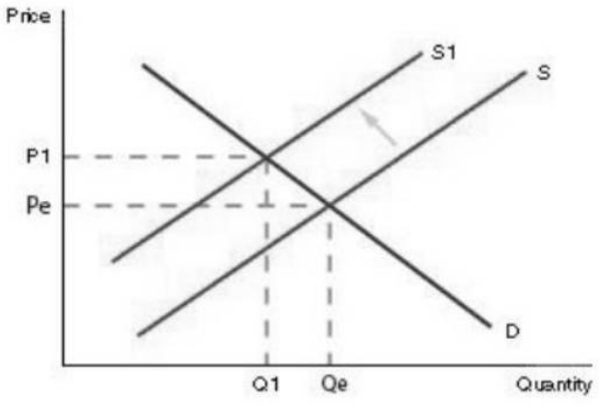
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to decision and 1 mark for reference to not being both achievable The choice between two objectives **(1)**, where for one objective to increase the other must decrease **(1)**. Accept any other appropriate responses.	**(2)**

Type MS · Macroeconomic objectives and trade-offs

Answer 4 of 14 · Question 1 part d · 2 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. $\frac{8 \text{ million}}{72 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer. = 11.11% **(1)** Award 2 marks if the rate of unemployment is correctly calculated as 11.11%, with percentage sign, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no percentage sign, even with or without calculations. Do not award marks for the formula.	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 4 of 14 · Question 1 part d · 2 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • If the quality of domestically produced goods is poor compared to imported foreign goods **(1)** then fewer consumers will buy these goods **(1).** Imports are likely to increase which contributes to the current account deficit of $5.082bn **(1)**. • If domestically produced goods are of poor quality **(1)** then there is less chance of exporting these goods to other countries **(1)**. Exports are likely to fall which contributes to the current account deficit of $5.082bn **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 4 of 14 · Question 1 part d · 2 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Subsidies are financial support from a government to lower the production costs of domestic firms • In this case, the Indian Government is providing a production subsidy of $725m to the farmers of sugar cane • Subsidies will lower the price of Indian produced sugar cane and increase sales • Financial support in the form of subsidies can help to protect local jobs • Subsidies can also help to encourage agricultural output of sugar cane by encouraging an increase in supply • Subsidies can help to improve competiveness against firms in other countries such as Australia that may not receive government assistance	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 4 of 14 · Question 1 part d · 2 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Macroeconomic objectives and trade-offs

Answer 5 of 14 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in spending on education 59-68 x 100 **(1)** 68 = -13.24% **(1)** Award 2 marks if the percentage change is accurately calculated, even if no calculations are shown Award 1 mark if % is missing i.e. -13.24, even if no calculations are shown	**(2)**

Question Number	**Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • WTO helps with trade negotiations between the many different countries that are members • There are often trade disputes between the member countries such as the US who has been involved in 422 trade disputes • The WTO can help to resolve these to encourage greater free trade • WTO sets the rules of trade for the member countries that account for 98% of world trade • It encourages the reduction of tariffs and quotas as well as ensuring that the 164 members uphold these rules of trade • Without the WTO, there would be more protectionism and trade negotiations would take much longer • A reduction of protectionism should result in more free trade and therefore lower prices and increased choice for consumers	**(6)**

Type MS · Macroeconomic objectives and trade-offs

Answer 5 of 14 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 5 of 14 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A trade-off arises where having more of one thing potentially results in having less of another • Having more economic growth results in greater use of scarce and unsustainable resources in order to create goods and services • The US has seen a booming economy but at the same time this has resulted in more CO2 emissions in 2018 • This demonstrates that despite more electric cars and less coal-fired power stations that there is a trade-off between economic growth and protection of the environment • If the US government imposed more protection of the environment in terms of taxation, regulation, fines or pollution permits then this could restrict economic growth due to increased costs for firms **AO4** • However, it can be argued that there is a limited trade-off as economic growth can create wealth to help tackle CO2 emissions through the use of cleaner technologies • More economies are switching to low-carbon technologies which help to reduce pollution • Economic growth is therefore needed if people are able to afford to buy electric cars rather than cheaper petrol cars • Not all industries and firms pollute the environment and many countries are using policies such as recycling and reusing to help reduce pollution and waste • The trade-off will depend upon the priorities of the US and whether economic growth can be used to reduce environmental damage	**(12)**

Type MS · Macroeconomic objectives and trade-offs

Answer 5 of 14 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 5 of 14 · Question 4 part c · 12 marks

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Type MS · Macroeconomic objectives and trade-offs

Answer 6 of 14 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** **B** Increased inflation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is the MNCs may create jobs **(1)**.The palm plantations require many workers to harvest the palm oil **(1)**. This can reduce the amount of unemployment in Indonesia **(1)** • One advantage is the contribution to government revenue **(1)**. Foreign MNCs might be required to pay taxes to the Indonesian Government **(1)**. This can be used to fund public services within Indonesia **(1)** Accept any other appropriate response	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 6 of 14 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Recession is when GDP falls for two consecutive quarters • During a recession there is a decline in consumption and investment • There is often a loss of confidence which makes consumers buy fewer goods and services • Lower consumption of goods and services results in some firms requiring fewer workers • Manufacturers may cut back on recruitment and/or the number of employees in reaction to falling orders • Overall, the unemployment rate rises in a recession	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 6 of 14 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to affect the level of economic activity • Expansionary monetary policy aims to boost economic growth by lowering interest rates • China has lowered interest rates to 4.35% in 2018/2019 from a high of 6% in 2014 • This makes borrowing more attractive to firms and households as a lower rate of interest is charged on loans • Firms and consumers with existing loans and mortgages will also see a drop in interest payments and therefore will have more disposable income to spend • This may increase the demand for goods and services within the Chinese economy, thus increasing economic growth **AO4** • However, not all economic growth is dependent upon interest rates • Other factors such as business and consumer confidence play a huge role in the demand for goods and services • Often there is a time lag for a reduction in interest rates to feed through into the economy in terms of increased demand • Lower interest rates may increase demand for goods and services but can result in inflationary pressures if supply is not able to keep up with demand • The effectiveness may depend upon a range of factors within the Chinese economy	**(9)**

Type MS · Macroeconomic objectives and trade-offs

Answer 6 of 14 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 6 of 14 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Macroeconomic objectives and trade-offs

Answer 7 of 14 · Question 2 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **B** Trade-off A is not correct because this is a result of inflation C is not correct because this the loss of the next best alternative D is not correct because this is the name for a group of countries with a preferential trading agreement	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Asset purchasing A is not correct because the central bank does not lend to firms B is not correct because this is the role of government D is not correct because is the role of the high street banks	**(1)**

Question Number	State one type of inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • Demand-pull • Cost-push	**(1)**

Type MS · Macroeconomic objectives and trade-offs

Answer 7 of 14 · Question 2 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

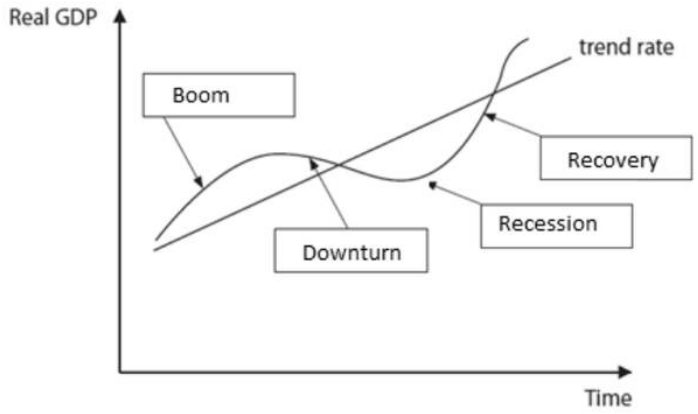
Question Number	What is meant by the term fiscal surplus? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to government revenue and 1 mark for reference to being greater than expenditure When government revenue **(1)** is greater than government expenditure **(1)** **OR** When government expenditure **(1)** is less than government revenue **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one disadvantage of deregulation for a country such as Indonesia. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is damage to the environment **(1).** Mining often has a negative impact on the environment **(1)** and this may increase as mines no longer have to follow government controls **(1)** Accept any other appropriate response.	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 7 of 14 · Question 2 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for boom, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 7 of 14 · Question 2 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The local government in Alberta is investing in a wide range of projects including repairing roads, bridges and upgrading technology in schools and universities • In the short term, building or upgrading the transport network can boost (aggregate) demand through increased construction activity and employment • Canadian construction, road and technology firms may require additional employees to complete the projects • In the long term, infrastructure investment can reduce unemployment by increasing the potential supply capacity of an economy • The latest unemployment figures increased to 8.7% in March so investing in infrastructure projects could help to boost output without the danger of inflation **AO4** • However, it can be argued that spending $1.9bn may not reduce unemployment in the long term • There is an opportunity cost of these investments with no guarantee that unemployment will decrease in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the projects can add to (aggregate) demand and (aggregate) supply • The local government in Alberta should use a range of supply-side and fiscal policies to reduce unemployment	**(9)**

Type MS · Macroeconomic objectives and trade-offs

Answer 7 of 14 · Question 2 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 7 of 14 · Question 2 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** asset purchasing B is not correct because this is when a government sells assets to private investors C is not correct because this is the payment for borrowing funds D is not correct because this is the removal of government controls	**(1)**

Question Number	If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** UK exports to Italy will be cheaper A is not correct because the £ has depreciated against the € B is not correct because holidays in Italy will be more expensive for UK tourists C is not correct because Italian imports will be more expensive	**(1)**

Question Number	State **one** possible trade-off with economic growth. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** trade-off. • Inflation • Environmental protection • Damage to the environment Accept any other appropriate response	**(1)**

8

Type MS · Macroeconomic objectives and trade-offs

Answer 8 of 14 · Question 2 part c · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	What is meant by the term devaluation? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to decrease in exchange rate and 1 mark for reference to being caused by the government A decrease in the exchange rate **(1)** caused by government intervention **(1)** Accept any other appropriate response	**(2)**

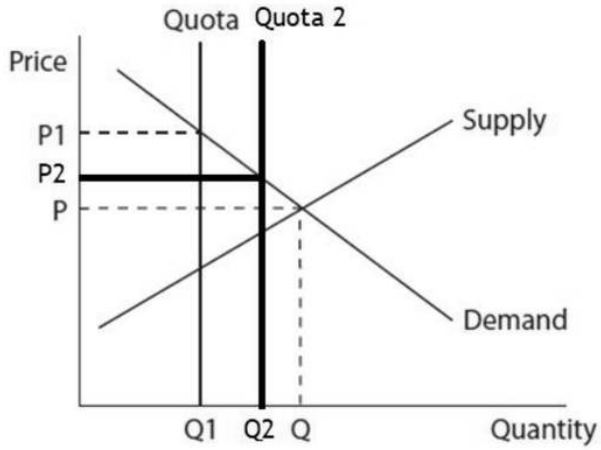
Question Number	Explain **one** way government spending on infrastructure can benefit an economy such as the US. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is to create jobs **(1).** The building of roads and bridges will require construction workers **(1).** This can help to reduce unemployment for the US **(1)** • One way is to improve the productive potential of an economy **(1).** Building roads and bridges can help to improve the transport of goods and services around the country **(1).** This can result in an increase in aggregate supply for the US **(1)** Accept any other appropriate response	**(3)**

9

Type MS · Macroeconomic objectives and trade-offs

Answer 8 of 14 · Question 2 part c · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

10

Type MS · Macroeconomic objectives and trade-offs

Answer 8 of 14 · Question 2 part c · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A fiscal surplus is when tax receipts are greater than spending • In this case, San Francisco is expecting a surplus of $108m • The fiscal surplus can be used in a number of ways, such as, further spending on homelessness and mental health which could benefit the residents who live in San Francisco • It could use the surplus to reduce taxes for the residents of the city • Alternatively, it could fund new education and training programmes or improve existing public services such as policing and public safety • If the city has any debts, it has extra funds to repay them with the $108m surplus • This reduces the interest payable on any debt and helps the local economy in the future **AO4** • However, there can be disadvantages to having a fiscal surplus • Often it means that tax rates may be too high in the first place and this could have a negative impact on the taxpayers of the city • The fiscal surplus could have been caused by cuts to spending on public services in the city • This could have a detrimental impact on low-income families who may rely more on these for basic needs • This could result in an increase in inequality in San Francisco in the long term • The impact will depend on how long the fiscal surplus can be maintained and how it is spent within the economy	**(9)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Macroeconomic objectives and trade-offs

Answer 8 of 14 · Question 2 part c · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

12

Type MS · Macroeconomic objectives and trade-offs

Answer 8 of 14 · Question 2 part c · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year? Answer	Mark

Type MS · Macroeconomic objectives and trade-offs

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** an increase in inflation A is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit B is not correct because economic growth is likely to increase as more people are in employment D is not correct because relative poverty should decrease as more people have income from a job	**(1)**

Question Number	Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Greater environmental damage A is not correct because this is an advantage of FDI C is not correct because this is an advantage of FDI D is not correct because this is an advantage of FDI	**(1)**

Question Number	Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is demand may have increased for imports **(1)** as consumers switch to imports rather than domestically produced goods as their quality has improved **(1).** This results in more money flowing out the country resulting in a negative impact on the current account deficit **(1)** Accept any other appropriate response.	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The UK has agreed to end 99% of tariffs on goods from Australia • Free trade means that UK firms are no longer protected from imports from Australia that once had tariffs applied to them • Free trade means that UK firms may face greater competition from firms in Australia • UK firms may have increased competition from cheaper, lower cost firms in Australia that may have lower wage costs compared to UK firms • This could result in falling sales for UK firms that might have higher labour costs compared to Australia	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a company or activity controlled by the government to private investors • The Scottish Government has recently privatised Shetland College • Shetland College will have more control over its operations now that it is in the private sector • Shetland College cannot rely on public money and must make a profit to survive • Therefore, Shetland College will now have to compete against the other rival colleges for students in order to gain revenue • Competitive pressures should help to improve quality and reduce prices for the students using the college • Shetland College may try to compete by offering a wider range of courses to attract more people to the college • It could seek to lower the prices for its courses without the interference of the government thereby benefitting students of the college **AO4** • However, in practice, state monopolies often become private monopolies • This might be the case with the firm operating in the education market • Competitive pressures are often not forthcoming and Shetland College has simply been moved from state to private ownership without facing any new competition • Critics are concerned that the privatisation might result in fewer courses available for students • As a result consumers/students might be exploited due to poor quality and price increases as the private firm seeks to reduce costs in order to maximise profits • Workers might be negatively affected as large numbers of people are often made redundant to reduce costs • The overall impact will depend on how the college is managed and operated by the management	**(9)**

Type MS · Macroeconomic objectives and trade-offs

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working Answer	Mark

2(a)	**AO1 1 mark** The only correct answer is: **A** To increase the demand for its exports B is not correct because devaluation aims to increase not decrease the demand for exports C is not correct because devaluation aims to make exports cheaper rather than affect the price of imports D is not correct because devaluation can make a country's assets and investments cheaper in foreign currency terms, which can attract foreign investors	**(1)**

Question Number	Which **one** of the following is the most likely reason for increased globalisation? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** An increase in the significance of MNCs A is not correct because this would reduce trade B is not correct because this would make trade more expensive and less likely D is not correct because this would result in less globalisation	**(1)**

Question Number	State **one** possible macroeconomic objective for a government. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** macroeconomic objective. • Economic growth • Low and stable inflation • Low unemployment • Surplus or balance on the current account of the balance of payments • Protection of the environment • Redistribution of income Accept any other appropriate response	**(1)**

Type MS · Macroeconomic objectives and trade-offs

Answer 10 of 14 · Question 2 part c · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

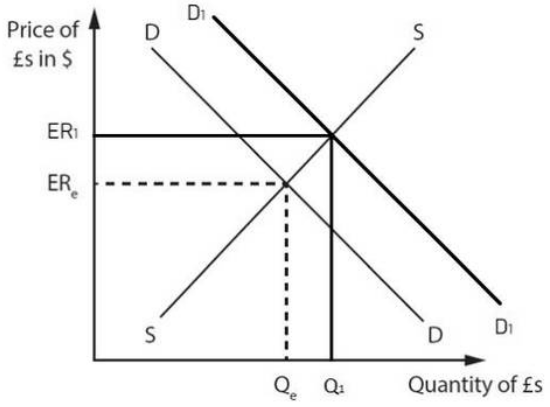
Question Number	What is meant by the term seasonal unemployment? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When workers are only required for certain times of the year **(1)** and unemployed for the rest of the year **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason rapid economic growth may be harmful for an economy such as Vietnam. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is because it may cause damage to the environment **(1).** The increased production of goods and services can cause pollution **(1)** which may result in increased government expenditure to reduce the problem **(1)** • One reason is higher inflation **(1).** Rapid growth of 8.02% may result in the economy overheating **(1).** This could result in lower standards of living for people in Vietnam due to less purchasing power **(1)** Accept any other appropriate response	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 10 of 14 · Question 2 part c · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 10 of 14 · Question 2 part c · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business tax is a direct tax on the profit of a firm • Business tax rates in the UK have increased from 19% to 25% in April 2023 • Increasing business tax rates by such a large percent (6%) may result in less tax revenue for the UK Government if firms do not locate in the UK or if UK firms relocate to the US • The US has a much lower tax rate of 21% in comparison to the UK which could be very attractive to MNCs • Firms such as Associated British Foods will have to pay £20m more in taxation • This could result in the firm having less to invest in the UK economy • This is likely to result in a negative impact on GDP and employment if many firms have less profit to invest and expand in the UK **AO4** • However, increases in business tax rates can help provide the UK Government with an additional £18bn in tax revenue • This could be used by the UK Government to invest into public services for the UK population which might offset any reductions in investment by the private sector • The UK's tax rate of 25% is comparable to China and France and is still significantly lower than Germany's 30% tax rate • This could mean that the impact of the higher rates of business tax is minimal • The level of investment is affected by a range of factors, such as business confidence and not just the rate of business taxes in a country	**(9)**

Type MS · Macroeconomic objectives and trade-offs

Answer 10 of 14 · Question 2 part c · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Macroeconomic objectives and trade-offs

Answer 10 of 14 · Question 2 part c · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	How many UK pounds (£) can be bought with $50 if the exchange rate is $1=0.75? **Answer**	Mark

1(a)	**AO1 1 mark** The only correct answer is: **C** Developing skills A is not correct because this is a disadvantage of MNCs B is not correct because MNCs often cause pollution in other countries D is not correct because MNCs often move profits back to their own countries	**(1)**

Question Number	Which **one** of the following is a measurement of gross domestic product (GDP)? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Total value of goods and services produced within an economy A is not correct because of GDP focuses on the production aspect of goods and services rather than the value traded C is not correct because exports are only a part of the total production within an economy D is not correct because it the value of imports is not used in the calculation of GDP	**(1)**

Question Number	What is meant by the term the current account on the balance of payments? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A record of all transactions **(1)** relating to international trade **(1)** **OR** It is where the total value of exports and imports **(1)** are recorded **(1)** Accept any other appropriate response	**(2)**

Type MS · Macroeconomic objectives and trade-offs

Answer 11 of 14 · Question 1 part g · 3 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

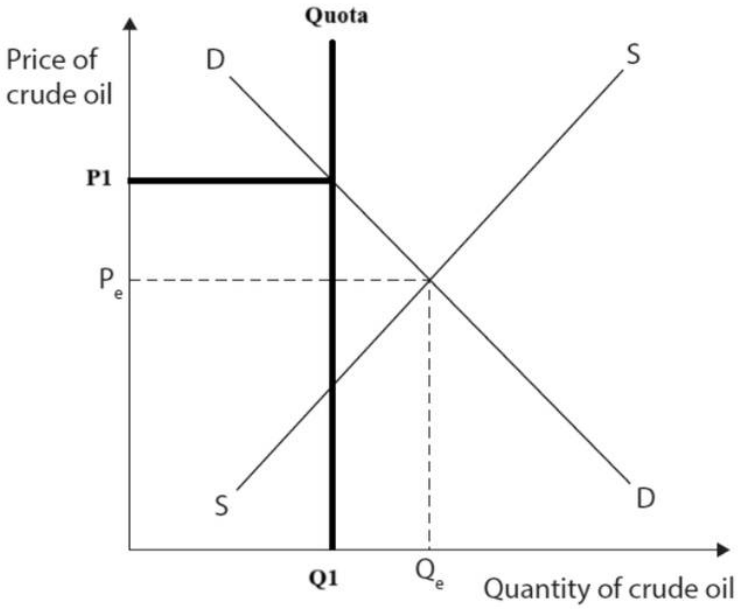
Question Number	Describe **one** way business activity can damage the environment. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to a way and 1 mark for the development of the way One way is by air pollution **(1)** due to factories releasing large amounts of greenhouse gases into the air **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for selecting direct taxes from the table £20bn + £7.6bn **(1)** Award 1 mark for the correct answer = £27.6bn **(1)** Award 2 marks if the correct answer is £27.6bn even if no calculations are shown Award 1 mark if £bn is missing i.e. 27.6 with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Macroeconomic objectives and trade-offs

Answer 11 of 14 · Question 1 part g · 3 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 11 of 14 · Question 1 part g · 3 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Explain **one** reason why there may be a link between economic growth and inflation for an economy. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that economic growth can lead to a rise in demand for goods and services **(1).** Due to supply not keeping up with demand **(1)** prices rise/inflation occurs as demand is greater than supply **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • As more firms from different countries in the AfCFTA enter the South African market, domestic firms may face increased competition • Foreign firms may have advantages such as lower costs of production, better technology or greater access to resources which can give them an advantage over domestic firms • This could lead to lower prices and profit margins, making it harder for domestic firms to survive in the market • If South African firms are unable to compete with other firms in the trade bloc they may be forced to close or to reduce their workforce	**(6)**

Type MS · Macroeconomic objectives and trade-offs

Answer 11 of 14 · Question 1 part g · 3 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	What is the likely impact of lower transport and communication costs on an economy? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** Appreciation B is not correct because this is when there is a fall in the value of the exchange rate C is not correct because this is when a government fixes a new higher exchange rate D is not correct because this is when a government fixes a new lower exchange rate	**(1)**

Question Number	Which **one** of the following is a reason for why there is protection for international trade? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** To protect domestic jobs A is not correct because trade protection aims to stop dumping B is not correct because trade protection reduces free trade D is not correct because trade protection should help to reduce the current account deficit	**(1)**

Question Number	State **one** possible impact of globalisation on consumers. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Rising living standards • Greater choice • Lower prices • Dangerous products Accept any other appropriate response	**(1)**

Type MS · Macroeconomic objectives and trade-offs

Answer 12 of 14 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

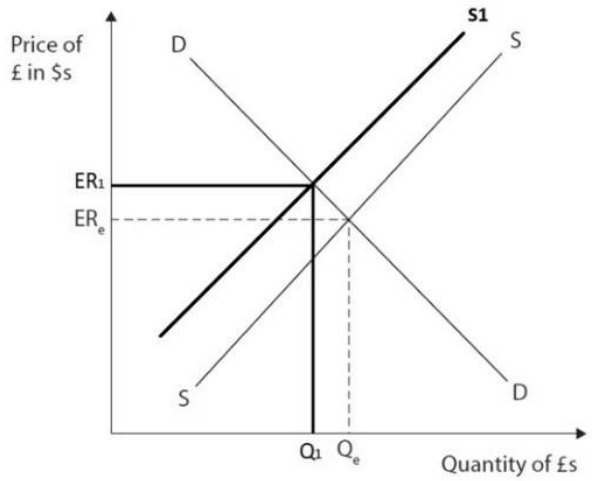
Question Number	What is meant by the term asset purchasing? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When a central bank buys government bonds/financial assets **(1)** from commercial banks **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that environmental protection can increase the cost of doing business **(1).** Firms may need to invest in new equipment/technologies to reduce emissions **(1)** which may result in slower economic growth **(1)** • One reason is that more environmental protection such as restrictions may limit business activity **(1)** to reduce emissions/pollution from factories **(1)**, which could lead to lower economic growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 12 of 14 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a lower equilibrium quantity, labelled  **Figure 3**	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 12 of 14 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Structural unemployment is caused by a mismatch between the skills that workers in the economy can offer and the skills demanded of workers by employers • In the case of the introduction of AI, this could be caused by the introduction of new technology • AI can perform repetitive and routine tasks more efficiently and accurately than humans • As a result, jobs that involve tasks like data entry, basic coding or even certain aspects of journalism may be automated, leading to the replacement of workers in these industries • This can contribute to higher levels of structural unemployment rates among workers in these types of job roles which can be seen in the planned job cuts at IBM and BT • Some workers may not have the necessary skills for the new jobs being created in the AI and technology sector resulting in an increase in structural unemployment **AO4** • However, while AI can eliminate certain jobs, it can also create new job opportunities • For example, the development, maintenance and running of AI systems require skilled IT professionals • New industries and job roles related to AI and technology may emerge potentially absorbing some of the unemployed workers • AI can boost productivity and efficiency in various sectors potentially leading to economic growth • A growing economy can create more job opportunities in non-routine and creative roles that are less susceptible to AI • AI and new technology have enabled an increase in remote work/working from home which can expand job opportunities for individuals	**(9)**

Type MS · Macroeconomic objectives and trade-offs

Answer 12 of 14 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 12 of 14 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is an advantage of a government giving subsidies to domestic producers? **Answer**	Mark

Type MS · Macroeconomic objectives and trade-offs

Answer 13 of 14 · Question 2 part c · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Macroeconomic objectives and trade-offs

Answer 13 of 14 · Question 2 part c · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

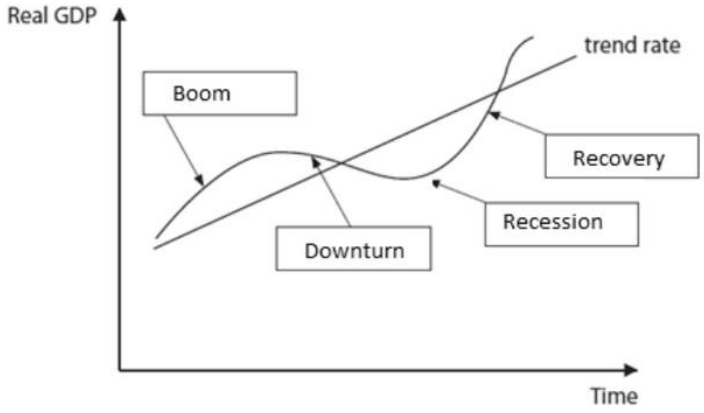
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 13 of 14 · Question 2 part c · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 13 of 14 · Question 2 part c · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Macroeconomic objectives and trade-offs

Answer 13 of 14 · Question 2 part c · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Macroeconomic objectives and trade-offs

Answer 13 of 14 · Question 2 part c · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark

Type MS · Macroeconomic objectives and trade-offs

Answer 14 of 14 · Question 1 part b · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **B** Lower transportation costs A is not correct because increasing these barriers would likely decrease globalisation by limiting international trade C is not correct because it is the increased significance of multinational corporations that contributes to globalisation D is not correct because this would make trade more expensive and less likely to occur	**(1)**

Question Number	What is likely to happen if a government successfully reduces unemployment? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Inflation might rise as more people have money to spend B is not correct because employment growth is associated with higher output and economic growth C is not correct because more people have jobs and therefore more money to spend D is not correct because government spending on benefits would decrease as more people are now employed	**(1)**

Question Number	What is meant by the term trading bloc? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A trading bloc is a group of countries that join together **(1)** to reduce/eliminate trade barriers between themselves **(1)** Accept any other appropriate response	**(2)**

Type MS · Macroeconomic objectives and trade-offs

Answer 14 of 14 · Question 1 part b · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

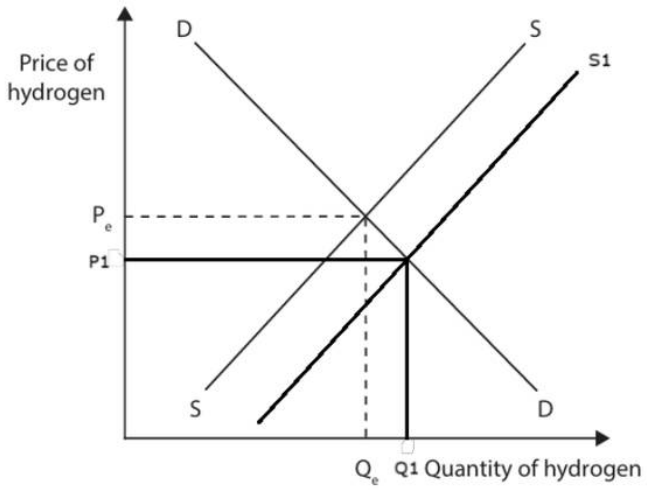
Question Number	Describe **one** impact on consumers of an increase in interest rates. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is that the cost of borrowing becomes more expensive **(1)** therefore fewer consumers take out loans to buy products **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **visible trade balance** in €bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of goods – import of goods €150bn - €120bn **(1)** Award 1 mark for the correct answer = €30bn **(1)** Award 2 marks if the correct answer is €30bn even if no calculations are shown Award 1 mark if the answer given is 30bn even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Macroeconomic objectives and trade-offs

Answer 14 of 14 · Question 1 part b · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Macroeconomic objectives and trade-offs

Answer 14 of 14 · Question 1 part b · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** possible benefit of a fiscal surplus for a country such as Portugal. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that Portugal can spend more money on public services **(1).** Investing more in these sectors can lead to better schools and hospitals **(1)** therefore improving the quality of life for its citizens. **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms might start hiring more people because they need more workers to meet the demand for their products or services reducing unemployment levels in Greece • Economic recovery often encourages entrepreneurs to start new businesses • These new firms will need employees, creating more jobs and increasing overall employment levels in Greece • When the economy is doing well, both firms and consumers feel more confident • Firms are more likely to invest in new projects or expand, needing more workers • Consumers spend more which can lead to more jobs in retail, services and other sectors	**(6)**

Type MS · Macroeconomic objectives and trade-offs

Answer 14 of 14 · Question 1 part b · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Macroeconomic objectives and trade-offs

Answer 14 of 14 · Question 1 part b · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a government policy that changes the rate of interest? **Answer**	Mark